

Noetia — Business Plan

Version 1.1 | May 2026

Executive Summary

Noetia is a multimodal reading platform that synchronizes text and audio phrase by phrase, enabling readers to read and listen at the same time. Its language-agnostic architecture launches with Spanish as the primary market and expands to English in Year 2, with additional languages to follow — targeting a combined base of over 2 billion native speakers across Spanish and English.

Noetia combines the immersive depth of a reader app with the habit-forming mechanics of social learning platforms — allowing users to save fragments, generate visual quote cards, share to social networks, and read together in real-time clubs.

Noetia launched its beta in May 2026 following 12 months of development by a 4-person team. The platform is live at <https://noetia.app>, runs on production infrastructure, and is preparing for App Store and Google Play submission.

Business model: Subscription (Individual \$8.99/mo · Duo \$13.99/mo · Family \$18.99/mo) plus per-title token purchases and social giving (2.22% of every payment supports partner social causes).

Target market: Spanish-speaking audiences at launch (500M+ native speakers; 30M+ paying digital readers in Latin America and Spain); English-speaking markets from Year 2; multilingual expansion thereafter.

12-month revenue target (post-launch Year 1): \$165,000 total revenue, reaching 2,000 paying subscribers by May 2027.

The Problem

Deep, immersive reading is broken across languages. Spanish is the second most spoken native language in the world, yet the dominant reading platforms (Audible, Blinkist, Storytel) were built for English-first audiences and offer thin Spanish catalogs with poor cultural fit. English-language platforms face the inverse problem: enormous catalogs but fragmented, passive consumption experiences.

Readers who want to engage deeply with books in any language face three compounding problems:

1. **Fragmented consumption** — text and audio exist on separate apps, breaking focus and continuity.
 2. **Passive reading** — existing platforms don't help readers retain or share what they learn.
 3. **Social isolation** — reading is treated as a solitary activity with no community or accountability layer.
-

The Solution

Noetia solves all three — in any language:

Problem	Noetia Solution
Fragmented text + audio	Phrase-by-phrase synchronization — audio and text move together, phrase highlighted in real time
Passive reading	Fragment capture → visual quote cards → share to LinkedIn, Instagram, Facebook, Pinterest

Reading in isolation	Noetia Clubs — phrase-anchored discussion threads, live listening sessions (Escucha Juntos), book polls
----------------------	---

Additional differentiators:

- **Reading statistics** — 7-day activity chart, streak counter, weekly goals — habit loops proven by Duolingo's engagement model
- **Privacy controls** — granular settings for what is shared in clubs
- **Causes Noetia** — 2.22% of every payment routes to vetted social causes (Medio Ambiente, Educación, Salud), turning every subscription into a social contribution

Product Overview

Core Features (shipped)

Reader

- Phrase-synchronized text + audio (read mode, audio mode, active listening mode)
- Offline book download and sync
- Font size, dark mode, chapter navigation
- Reading progress saved and restored across devices

Fragments & Sharing

- Long-press phrase selection to save fragments
- Quote card image generation (4 platforms × multiple formats and sizes)
- Direct publish to LinkedIn, Facebook, Instagram, Pinterest via OAuth
- Deep link sharing

Library & Discovery

- 38+ curated free public-domain titles (Spanish) at launch; English public-domain catalog in active development
- Author-uploaded paid titles (token gated)
- Collection grouping, search (Meilisearch full-text)

Noetia Clubs

- Public / private / author-event club types
- Phrase-anchored discussion threads
- General club chat
- Book nomination polls
- Escucha Juntos — scheduled live listening sessions
- Member roles (admin / moderator / member), ban mechanics

Monetization

- 3 subscription tiers (Individual / Duo / Family) with monthly and annual billing
- Token system (1 token = 1 paid book) — 90-day expiry, FIFO redemption
- Token packages (1, 3, 5, 10 tokens) purchased à la carte
- Gift cards with personal message and occasion
- Causes Noetia — 2.22% social giving on every payment

Platforms

- Web (Next.js — desktop + mobile browser)
- iOS (React Native via Expo)
- Android (React Native via Expo)

Languages

- Full UI localization: Spanish (launch) + English (active)
 - Content catalog: Spanish (launch) → English (Year 2) → multilingual roadmap
-

Market Analysis

*Full source citations, methodology notes, and confidence ratings for every number in this section are in the **Market Intelligence Appendix** (document 05).*

Total Addressable Market (TAM)

The global audiobook market was valued at **\$8.70 billion in 2024** and is projected to reach **\$35.47 billion by 2030**, growing at a CAGR of 26.2% (Grand View Research, "Audiobook Market Size, Share & Trends Analysis Report," 2024 — scope: global, all formats and distribution channels).

Noetia's phrase-sync + social layer addresses the broader digital reading market, not just audiobooks. The combined global market for ebooks, audiobooks, and reading subscription platforms exceeds \$20 billion in 2024.

Spanish and English together represent the two largest native-speaker populations globally (500M + 1.5B), making Noetia's dual-language strategy directly aligned with the highest-volume market segments.

Serviceable Addressable Market (SAM)

Spanish-speaking markets (Year 1):

- Latin America's mobile internet audience reached **413 million users in 2024** (GSMA, "The Mobile Economy: Latin America 2024"), of whom an estimated 130M regularly engage with digital long-form content
- The paid digital reading segment (users paying for books, subscriptions, or audiobooks) in Latin America is estimated at **8–12M users**, growing at ~18% annually (composite estimate — full methodology in Market Intelligence Appendix)
- Spanish-language audiobook catalog: 22,000+ titles as of 2024, growing rapidly (Bookwire, Spanish Market Report 2024)

English-speaking markets (Year 2):

- The US alone has 47M+ audiobook listeners (Audio Publishers Association, 2024)
- English-language digital reading subscription market is the most developed globally, with proven willingness to pay

Combined SAM for Year 1–3 planning: Spanish-speaking digital readers + English-speaking digital readers in target geographies.

Serviceable Obtainable Market (SOM)

Year 1 target: 2,000 paying subscribers (Spanish-first; English onboarding begins Q3 2026) **Year 3 target:** 15,000 paying subscribers (blended Spanish + English)

These targets assume organic content marketing, author partnerships, and social sharing virality as primary acquisition channels. Full acquisition model in the Financial Projections section.

Market Trends

- Spanish-language audiobooks grew **45.7% in 2023** (Bookwire, Spanish Market Report 2024 — based on platform sales data across major Spanish-language publishers and distributors; Latin America regional growth: +9%, Mexico: +12%)
- Social reading (book clubs, discussion apps) is the fastest-growing book discovery channel globally
- Short-form video (TikTok/Instagram Reels) is the primary book discovery platform for under-35 audiences — Noetia's visual quote card sharing plugs directly into this behavior (the "BookTok" phenomenon drove 825M book-related TikTok views in 2023 — Publishers Weekly)
- US Hispanic audiobook consumption is accelerating: the US is the region with the fastest growth in Spanish-language audiobook consumption (Bookwire, 2024), making the US Hispanic market a high-value near-term target

Competitive Landscape

Competitor	Strengths	Weaknesses vs. Noetia
Audible (Amazon)	Huge catalog, global brand	No text sync, no social layer, weak Spanish catalog, no community
Storytel	Growing Spanish catalog, subscription model	No phrase sync, no sharing, limited Spanish content
Blinkist	Summary-focused, strong UX	Summaries only (no full books), English-first
12min	Spanish-language summaries	Summaries only, no audio sync, no community
Kindle	Best-in-class e-reader	No audio sync, weak social features, separate from Audible
Scribd	Large catalog, subscription model	No phrase sync, no social sharing, no clubs
Wattpad	Strong community	Fiction-only, user-generated, no curated catalog

Noetia's defensible differentiators:

- Phrase-by-phrase audio-text sync (technical moat — significant implementation complexity; competitors lack this for full books)
- Language-agnostic architecture with cultural product design per market
- Social causes integration (emotional stickiness — readers feel their subscription matters)
- Visual quote card generation for social sharing (virality engine that drives organic acquisition)

Business Model

Revenue Streams

1. Subscriptions (recurring MRR)

Plan	Monthly	Annual	Users
Individual	\$8.99	\$89.99	1 user, 1 token/cycle
Duo	\$13.99	\$139.99	2 users, shared pool
Family	\$18.99	\$189.99	5 users, shared pool

2. Token Packages (one-time)

Package	Price	Per Token
1 token	\$3.99	\$3.99
3 tokens	\$9.99	\$3.33
5 tokens	\$14.99	\$3.00
10 tokens	\$29.99	\$3.00

3. Gift Cards — token gifts with personal message (1 or 3 tokens), sent by email

4. Author Hosting Fees — future revenue from hosting-tier upgrades (Basic: 1 book, Starter: 3 books, Pro: 12 books)

Revenue Distribution Per Payment

- **45%** → Noetia operating revenue
- **36%** → Author / narrator royalties
- **9%** → Narrator fee (when separate from author)
- **2.22%** → Causas Noetia (social giving)
- **7.78%** → Marketing fund

Unit Economics (Individual Plan, monthly)

- ARPU: \$8.99
- Estimated churn: 5%/month (industry avg for niche reading apps: 4–7%)
- LTV (at 5% churn = 20-month avg tenure): **\$179.80**
- Customer Acquisition Cost (Year 1, organic-first): **estimated \$15–25**
- LTV:CAC ratio: **7:1 – 12:1**

Content & Licensing Strategy

1. Public Domain Catalog (Current — 38+ titles)

License type: Public domain / Creative Commons Zero

Source	Content Type	License	Royalty Cost
Project Gutenberg	Text files	Public domain	\$0
LibriVox	Audio narrations	CC0 (public domain dedication)	\$0
Spanish Wikisource	Spanish text files	Public domain	\$0

Rights position: No licensing costs or contractual obligations. Noetia verifies each title's public domain status by confirming publication date and jurisdictional copyright expiration before ingestion.

Expansion: English public-domain catalog is in active development using the same Gutenberg + LibriVox pipeline. Target: 40+ English titles by Q3 2026 alongside App Store launch.

2. Author-Direct Model (Active — growing)

License type: Non-exclusive distribution license

Authors apply via invite codes and upload through the Noetia dashboard. Two content models exist:

Model	Author Provides	Audio Origin	Royalty
Full submission	Text + narrated audio	Author-owned master recording	45% (author = narrator)
Text-only	Text file only	TBD: author-produced or future Noetia production	36% author + 9% narrator

Key license terms (formalized in Author Agreement):

- Non-exclusive: authors retain all rights and may distribute through other platforms simultaneously
- Authors self-certify ownership of all uploaded content
- License term: rolling 12-month with auto-renewal; 30-day written notice to withdraw a title
- Territory: worldwide by default; authors may restrict to specific regions upon request
- Payment cycle: monthly, within 15 business days of month-end; minimum payout threshold \$25

Due diligence at current scale: Authors self-certify rights at upload. Noetia removes content upon DMCA complaint or rights dispute. Editorial pre-review will be added at 50+ active authors.

3. Publisher Pipeline (Active outreach — no agreements signed as of May 2026)

Target: Independent and mid-size Spanish-language publishers in Mexico, Colombia, Argentina, and Spain. English-language independent publishers from Year 2.

Proposed deal structure:

- Non-exclusive per-title or catalog license
- Revenue split: 50% to publisher (inclusive of author share), 50% to Noetia
- Minimum catalog commitment: 5 titles per publisher for initial agreement
- Publishers must confirm ownership of both text rights AND audiobook/digital rights before listing

Current status: Market introduction phase. First formal publisher discussions targeted for Q4 2026 (post beta traction).

Priority targets:

- Penguin Random House Grupo Editorial (Spain / Latin America division)
- Fondo de Cultura Económica (Mexico)
- Planeta Libros (Spanish-language catalog)
- Independent publishers with 50+ title backlists

Recommended next step: Engage an IP/publishing rights attorney familiar with Spanish-language markets to draft the standard Publisher License Agreement. Estimated cost: \$3,000–\$8,000.

4. Audiobook Rights Ownership

Catalog Type	Text Rights	Audio Rights	Noetia's Position
Public domain	Public domain	CC0 (LibriVox)	Distribution only; no IP ownership
Author-direct (full submission)	Author-owned	Author-owned master	Non-exclusive distribution license
Author-direct (text-only)	Author-owned	TBD (author or Noetia production)	Distribution + potential production IP
Publisher-licensed	Publisher-owned	Publisher-owned	Non-exclusive distribution license

Phrase-sync maps (Whisper alignment data generated by Noetia) are Noetia proprietary data and are not part of the underlying work's copyright. This data represents a proprietary technical asset.

5. DRM and Copy Protection

Current approach: Soft DRM (account binding)

Noetia does not implement full DRM systems (Widevine, FairPlay). Instead:

- Content is encrypted at rest (MinIO server-side encryption, AES-256)
- Streaming and download URLs are presigned with short expiration windows (streaming: 5-min TTL; download: 1-hour TTL)
- Downloaded files are account-bound; not device-transferable
- Offline access is enforced at the API authentication layer

Rationale: Full DRM (Widevine/FairPlay) requires platform certification, significant engineering overhead, and is primarily demanded by major publishers. At current catalog scale (public domain + author-direct), soft DRM is contractually sufficient and is disclosed to authors upfront.

Roadmap: Full DRM capability will be evaluated before signing any major publisher agreement that requires it (estimated Year 2–3).

6. Territorial Rights

Current model: No territorial restrictions

- Public domain catalog: globally distributable with no restrictions
- Author-direct licenses: worldwide by default (authors may opt to restrict)

Forward-looking:

- Publisher deals will require per-territory negotiation; Latin America + Spain is the expected default scope
 - US Hispanic market rights will be negotiated as a distinct territory in publisher term sheets
 - English-language expansion requires separate territorial rights framework (Year 2)
-

Go-to-Market Strategy

Phase 1 — Beta Launch (May-Aug 2026)

- 500 beta users via waitlist (already collecting)
- Invite-only with upload codes for early authors
- Focus: product-market fit validation, churn analysis, NPS
- Channels: founder's network, LinkedIn content, author outreach
- Language: Spanish primary; English UI and onboarding available

Phase 2 — Growth (Sep 2026-Feb 2027)

- App Store and Google Play launch
- English public-domain catalog launch alongside app stores
- TikTok/Instagram content strategy: "best quotes from [book]" using Noetia share cards (virality loop)
- Author partnership program: 10 Spanish-language + 5 English-language authors with existing audiences
- Book club partnerships: university literary circles, reading communities on WhatsApp/Discord
- Referral program: invite 3 friends → 1 free token

Phase 3 — Scale (Mar 2027+)

- Publisher catalog deals (Spanish + English)
- Podcast/newsletter sponsorships targeting productivity and self-development audiences
- B2B: corporate wellness programs (reading as a benefit), university licensing
- Portuguese-language market entry (Brazil)

Team

The founding team combines product vision with technical execution across the full stack.

Role	Responsibilities
Product Manager	Roadmap, sprint planning, stakeholder management, user research, KPIs, go-to-market
Backend Developer	NestJS API, PostgreSQL schema, Stripe, auth, subscriptions, clubs, migrations
Frontend Developer	Next.js web app, React Native mobile (iOS + Android), i18n, UI components
DevOps Engineer	Docker infrastructure, Traefik, GitHub Actions CI/CD, Grafana monitoring, backups, server security

12 months of development. 55 database migrations. Zero external contractors. Full ownership of the technology stack.

Financial Projections

Base Assumptions

- Beta launch: May 2026
- App Store + English catalog launch: Q3 2026
- Average plan mix: 70% Individual, 20% Duo, 10% Family → blended ARPU ≈ \$10.20/mo
- Monthly churn: 5% (conservative; declining as product matures and clubs deepen engagement)

- Token purchase attach rate: 15% of subscribers buy at least 1 token package per year
- Year 1 revenue is primarily Spanish-market driven; English subscribers begin contributing from Q4 2026

Growth Acquisition Model

User Acquisition Funnel

Stage 1 — Awareness (top of funnel)

- Founder LinkedIn content (Spanish and English reading/productivity topics)
- Author-generated content: authors promote their Noetia titles to existing audiences
- Viral loop: Noetia share cards posted to TikTok/Instagram/Pinterest by readers
- University literary circles, WhatsApp reading communities, Discord book clubs

Stage 2 — Acquisition

- Waitlist landing page → invite code → free account creation
- App Store / Google Play organic discovery (Q3 2026+)
- Referral program: invite 3 friends → earn 1 free token (~\$3.99 cost per referral)

Stage 3 — Activation

- Free public-domain library immediately accessible — no paywall for first reading experience
- Reading streak initialized at first session; club discovery shown at end of session 1
- Target: 60%+ of new users complete their first reading session within 48 hours of signup

Stage 4 — Conversion (Free → Paid) Primary conversion triggers:

- Wanting a paid (token-gated) title from the author catalog
- Joining a club that reads a paid book
- End of a free title — prompt to explore paid author catalog

Target conversion rate: 12–18% of active free users convert within 90 days of signup.

Stage 5 — Retention and Expansion

- Reading streaks and weekly goals create habit-loop retention (loss aversion on streak breaks)
- Club membership creates social accountability (significant churn deterrent)
- Annual plan upgrade: 16–17% savings vs. monthly — offered at month 3 with in-app prompt

Customer Acquisition Cost (CAC) by Channel

Channel	Estimated CAC	Notes
Organic / founder content	~\$5	Time cost only; no media spend
Author referral (author audiences)	~\$8–12	Co-marketing with authors who promote Noetia to their following
Referral program (3 friends → 1 token)	~\$12–18	Token cost (\$3.99) amortized over 3 referred users
Paid social (Phase 2, Sep 2026+)	~\$25–40	Meta/TikTok ads targeting Spanish/English readers

Blended CAC (Year 1, organic-first)	~\$15-25	Weighted heavily toward organic channels
--	-----------------	--

Subscriber Growth Model

Period	Gross Adds/Mo	Churn (5%)	Net New	Cumulative
May-Jul 2026 (beta)	~80	~5	~75	200
Aug-Oct 2026 (App Store launch)	~150	~15	~135	550
Nov 2026-Jan 2027	~250	~30	~220	1,100
Feb-Apr 2027	~350	~55	~295	1,700
May 2027	~400	~80	~320	2,000+

Retention Assumptions

Cohort Age	Expected Monthly Retention
Month 1-3	90-95% (novelty + onboarding habits forming)
Month 4-12	95% (5% churn; clubs and streaks active)
Month 13+	96% (4% churn; deep habit formation)

Primary churn drivers: (1) catalog gaps — user exhausts content they want; (2) price sensitivity at month 3 for non-annual upgraders; (3) life events unrelated to the product.

Author Acquisition Model

Authors are the content supply chain. Year 1 prioritizes quality over quantity.

Period	Target Authors	Active Paid Titles	Acquisition Channel
May-Aug 2026 (beta)	5-10	10-20	Founder personal network
Sep-Dec 2026	25	40-60	Author referral + direct outreach
May 2027 (Year 1 end)	50	75+	Author referral program + publisher pipeline
May 2028 (Year 2 end)	150	250+	Publisher deals + English author outreach

Author selection criteria (Year 1): Existing Spanish or English-language audience (1,000+ followers on any platform); nonfiction, self-development, or literary fiction category; willing to promote their Noetia page to their own audience.

Author incentive structure:

- 45% royalty — highest in the category (Audible offers 25-40%)
- Free Starter hosting tier for first 12 months

- Co-marketing: Noetia features author in social content and author program newsletter
- Real-time author dashboard: earnings, reader engagement, fragment analytics

Revenue Projections

Period	Subscribers	MRR	ARR
Aug 2026 (3mo post-launch)	200	\$2,040	\$24,480
Nov 2026 (6mo)	600	\$6,120	\$73,440
Feb 2027 (9mo)	1,200	\$12,240	\$146,880
May 2027 (12mo)	2,000	\$20,400	\$244,800
May 2028 (24mo)	6,000	\$61,200	\$734,400
May 2029 (36mo)	15,000	\$153,000	\$1,836,000

Token package revenue and author hosting fees add ~12% on top of subscription ARR from Year 2.

Cost Structure (current)

Item	Monthly Cost
Contabo VPS (8 vCPU, 24 GB RAM, 400 GB SSD)	~\$25
Resend (email, free tier)	\$0
Expo EAS Build	\$0-\$29
Stripe fees (~2.9% + \$0.30)	Variable
Domain / DNS (Cloudflare)	~\$12/yr
Total fixed infrastructure	< \$50/mo

Infrastructure cost is negligible at current scale. The primary cost to scale is human capital (customer support, content licensing, marketing) and publisher deal legal fees.

Risk Analysis

Risk	Likelihood	Impact	Mitigation
Slow author catalog growth	High	High	38+ free public-domain titles provide full beta experience; English catalog in parallel
App store rejection	Medium	Medium	Privacy policy live, permissions declared, no objectionable content
Publisher rights disputes	Medium	Medium	Author self-certification + DMCA takedown process; IP attorney retained before publisher deals
Stripe disputes / chargebacks	Low	Medium	No refund policy on tokens (declared at checkout); strong auth

Server outage	Low	High	Daily PostgreSQL backups, MinIO backups, Grafana alerts, 99.9% uptime history
Competitor copies phrase-sync	Medium	Medium	Technical moat is deep; cultural + community layer is harder to replicate
Churn higher than projected	Medium	High	Reading streak gamification, clubs, weekly goals, and annual plan incentive fight churn
English market entry too early	Low	Medium	English public-domain catalog has zero licensing cost; risk is engineering time only

Noetia — Read. Listen. Capture. Share. <https://noetia.app> | noreply@noetia.app